

UNIT – IV

- **Managerial Aspects & Government Initiatives:** Market Strategies, Cash Management, Cost Management & Customer Relationship Management, CSR & its dimension, emphasizing best practices- AI & FINTECH. Government Initiatives – Budgetary Provisions on start-ups Make in India, MSME Provisions & Digital India initiative. Skill Development Programme. Commercial Banks and other Financial Institutional Support like SIDBI, SIDC, SFC, EXIM Bank, NSIC, SIDOSSI, SSICS, Tax Benefits to Small Scale Industries, MODVAT and Small-Scale Industries, Information facilities center in DGS & D, Khadi and Village Industries Commission (KVIC).

Learning Objectives

- * **Title:** What We Will Learn Today
- * **Content:**
 - * Understand key managerial functions: Market Strategies, Cash & Cost Management, CRM, and CSR.
 - * Explore the impact of AI and FinTech on modern business practices.
 - * Analyze major Government Initiatives supporting businesses (Make in India, Digital India, MSME Provisions).
 - * Identify the roles of various Financial Institutions (SIDBI, EXIM Bank, etc.).
 - * Learn about specific tax benefits and support agencies like KVIC.

Core Managerial Aspects

- * **Title:** The Pillars of Effective Business Management
- * **Content:**
 - * To survive and thrive, businesses must excel in core internal management areas.
 - * These aspects are crucial for sustainability and competitive advantage.
 - * We will cover:
 - * Market Strategies
 - * Cash & Cost Management
 - * Customer Relationship Management (CRM)
 - * Corporate Social Responsibility (CSR)
- * **Graphic:** Four pillars holding up a building labeled "Successful Business."
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The Pillars of Effective Business Management

 MARKET STRATEGIES	 CASH & COST MANAGEMENT	 CUSTOMER RELATIONSHIP	 CORPORATE SOCIAL RESP.
• Market Analysis & Research • Competitive Positioning • Growth & Expansion Planning • Marketing Mix (4Ps)	• Cash Flow Management • Cost Control & Reduction • Budgeting & Forecasting • Financial Planning • Profitability Analysis	• Customer Retention • Customer Support • Customer Engagement • Loyalty Programs • Feedback Systems	• Environmental Sustainability • Ethical Business Practices • Community Engagement • Social Impact Initiatives • Transparency & Reporting

Market Strategies

- * **Title:** Reaching Your Customers: Market Strategies
- * **Content:**
 - * **Definition:** A plan to identify and reach target customers to sell a product/service.
 - * **Key Types:**
 - * **Market Penetration:** Selling more existing products in existing markets.
 - * **Market Development:** Selling existing products in new markets.
 - * **Product Development:** Selling new products to existing markets.
 - * **Diversification:** Selling new products in new markets.
 - * **Tool:** The **Marketing Mix (4 Ps)** - Product, Price, Place, Promotion.
 - * **Example:** A local tea brand using digital ads (Promotion) to enter a new city (Market Development).

Cash Management & Cost Management

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- * **Title:** Managing the Lifeblood: Cash & Cost
- * **Content:**
- * **Cash Management:**
- * Ensuring the company has enough cash to meet its short-term obligations.
- * **Focus:** Cash flow forecasting, managing receivables/payables, avoiding cash crunches.
- * **Motto:** "Revenue is vanity, profit is sanity, but cash is king."
- * **Cost Management:**
- * Controlling and reducing business expenses to improve profitability.
- * **Techniques:** Budgeting, lean operations, outsourcing, strategic sourcing.
- * **Graphic:** An icon of a cash flow chart next to an icon of a downward-trending cost graph.

 CASH MANAGEMENT "Ensuring short-term liquidity"	 COST MANAGEMENT "Improving long-term profit"
 Cash Flow Forecasting • Predict future cash needs • Plan for seasonal variations	 Budgeting & Planning • Set spending limits • Track actual vs. budget
 Receivables Management • Faster invoice collection • Reduce payment terms	 Lean Operations • Eliminate waste • Improve efficiency
 Payables Management • Optimize payment timing • Maintain supplier relations	 Strategic Sourcing • Negotiate with suppliers • Bulk purchasing benefits
 Avoid Cash Crunches • Emergency funds • Credit lines	 Cost-Benefit Analysis • Evaluate all expenses • ROI-focused spending
"Revenue is vanity, profit is sanity, but cash is king."	

Customer Relationship Management (CRM)

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- * **Title:** Building Loyalty: Customer Relationship Management (CRM)
- * **Content:**
- * **Definition:** A strategy for managing a company's interactions with current and potential customers.
- * **Goal:** Improve business relationships to drive growth and retention.
- * **How it works:** Uses data analysis about customers' history to improve profitability.
- * **Benefits:** Increased customer satisfaction, personalized marketing, streamlined sales process.
- * **Modern Tool:** CRM Software (e.g., Salesforce, Zoho CRM) to automate and track interactions.

CSR & Its Dimensions

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- * **Title:** Responsible Business: Corporate Social Responsibility (CSR)
- * **Content:**
- * **Definition:** A business model that helps a company be socially accountable to itself, its stakeholders, and the public.
- * **Key Dimensions (The 4 Pillars):**
- * **Environmental:** Reduce carbon footprint, sustainable practices.
- * **Ethical:** Fair labor practices, ethical sourcing.
- * **Philanthropic:** Donating to charity, community development.
- * **Economic:** Being profitable while doing the above.
- * **In India:** Companies Act, 2013 mandates CSR spending for eligible companies.

: Best Practices: AI & FinTech

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- * **Title:** The New-Age Enablers: AI & FinTech
- * **Content:**
- * **Artificial Intelligence (AI) in Business:**
- * **CRM:** AI-powered chatbots for 24/7 customer service.
- * **Marketing:** Predictive analytics for personalized ad targeting.
- * **Operations:** AI for optimizing supply chains and inventory.
- * **Financial Technology (FinTech):**
- * **Cash Management:** Digital payments, automated invoicing.
- * **Cost Management:** AI-driven tools for detecting wasteful spending.
- * **Access to Finance:** Peer-to-peer (P2P) lending, digital crowdfunding.

Part 2: Government Initiatives

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- * **Title:** The Government as a Catalyst: Key Initiatives
- * **Content:**
- * The Government of India has launched several schemes to foster a supportive business environment.
- * These initiatives focus on Ease of Doing Business, Manufacturing, and Digitalization.
- * We will cover:
 - * Budgetary Provisions for Start-ups
 - * Make in India
 - * MSME Provisions
 - * Digital India
 - * Skill Development

Budgetary Provisions & Make in India

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- * **Title:** Financial & Manufacturing Boost
- * **Content:**
 - * **Budgetary Provisions for Start-ups/MSMEs:**
 - * Tax holidays (e.g., 100% profit deduction for first 3 years).
 - * Simplification of tax processes (GST).
 - * Allocation of funds to schemes like Startup India Seed Fund.
 - * **Make in India:**
 - * **Aim:** To transform India into a global manufacturing hub.
 - * **Focus Sectors:** 25 sectors including automobiles, pharmaceuticals, textiles.
 - * **Key Features:** Encouraging FDI, improving infrastructure, protecting intellectual property.

MSME Provisions & Digital India

- * **Title:** Empowering Small Business & Digital Transformation
- * **Content:**
 - * **MSME Provisions:**
 - * **Udyam Registration:** Simplified online registration process.
 - * **Credit Guarantee Scheme:** Collateral-free loans.
 - * **Priority Sector Lending:** Banks must lend a portion of their funds to MSMEs.
 - * **Procurement Policy:** Central ministries must buy a minimum % from MSMEs.
 - * **Digital India Initiative:**
 - * **Vision:** To make government services available to citizens electronically.
 - * **Impact:** Improved online infrastructure, internet connectivity, and digital empowerment. Crucial for E-commerce and digital marketing.

Skill Development Programmes

- * **Title:** Building a Skilled Workforce
- * **Content:**
- * **Aim:** To empower the youth with skill-based training to make them employable and support entrepreneurship.
- * **Key Initiatives:**
- * **Pradhan Mantri Kaushal Vikas Yojana (PMKVY):** Provides monetary rewards for skill certification.
- * **National Skill Development Corporation (NSDC):** Promotes skill development by funding vocational training institutes.
- * **Link to Business:** Creates a pool of trained talent, reducing training costs for businesses.

Financial Institutional Support (Part 1)

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- * **Title:** The Financial Backbone: Key Institutions
- * **Content:**
- * **SIDBI (Small Industries Development Bank of India):** Principal financial institution for MSMEs. Provides refinancing, direct lending, and venture capital.
- * **SIDC (State Industrial Development Corporation):** State-level institutions providing project finance and infrastructure development.
- * **SFC (State Financial Corporation):** Provides credit to small and medium-sized industrial ventures.
- * **EXIM Bank (Export-Import Bank of India):** Provides financial assistance to exporters and importers.

Financial Institutional Support (Part 2)

- * **Title:** More Key Support Institutions
- * **Content:**
- * **NSIC (National Small Industries Corporation):** Helps in marketing, technology, and financing support. Provides "Raw Material Distribution" and "Single Point Registration" for government tenders.
- * **SIDO/SSIB/SICS:** Various state-level corporations for industrial development, offering subsidies, land, and consultancy.
- * **Khadi and Village Industries Commission (KVIC):** Promotes and develops khadi and village industries for providing employment in rural areas.

Tax Benefits & MODVAT

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- * **Title:** Tax Incentives for Growth
- * **Content:**
 - * **Tax Benefits to SSIs:**
 - * **Income Tax Exemption:** For specified periods.
 - * **GST Composition Scheme:** Lower tax rates for small taxpayers with simpler compliance.
 - * **MODVAT (Modified Value Added Tax):**
 - * **Concept:** A precursor to the current GST input tax credit system.
 - * **Purpose:** It allowed manufacturers to claim a credit for the excise duty paid on inputs, thus avoiding the "cascading effect" of tax-on-tax.
 - * **Current Status:** Replaced by the more comprehensive **Input Tax Credit (ITC)** mechanism under GST.

Other Key Support Agencies

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- * **Title:** Niche Support Systems
- * **Content:**
 - * **Information Facilities in DGS&D (Directorate General of Supplies & Disposals):**
 - * Maintains a list of registered suppliers for government purchases.
 - * Provides a platform for MSMEs to become eligible suppliers to the government.
 - * **Khadi and Village Industries Commission (KVIC):**
 - * **Role:** Plans, promotes, and organizes the development of Khadi and village industries.
 - * **Support:** Provides financial assistance, training, and marketing support to artisans.
 - * **Symbol:** Represents self-reliance and rural employment.

Summary & Integration

- * **Title:** Key Takeaways
- * **Content:**
 - * Strong **managerial practices** (Strategy, Finance, CRM, CSR) form the foundation of a successful business.
 - * **Technology (AI, FinTech)** is revolutionizing these practices.
 - * The **Government of India** provides a multi-layered support system through policies, skill development, and financial institutions.
 - * Leveraging **financial institutions and tax benefits** is crucial for MSME and start-up growth.
 - * Success lies in effectively integrating sound internal management with external government support.

Thank you